

China: Broad retaliation preserves diplomatic options

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【メール原文】

China's latest retaliatory response is calibrated toward deterring future US restrictions, not derailing the truce.|||||||

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United States

Beijing retaliates while keeping summit door open. On 5 August, China announced its broadest retaliatory package against the US since the October trade truce, responding to recent US actions: Federal Communications Commission (FCC) restrictions on Chinese technologies between mid-2025 and July, and the US Department of Homeland Security's record-setting addition of 43 Chinese entities to the Uyghur Forced Labor Prevention Act (UFLPA) Entity List on 31 July.

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The retaliation creates new precedents. For the first time, China's Ministry of Commerce is formally counter-sanctioning US firms that enforce UFLPA and linking the measures directly to the US's UFLPA listings. Beijing also initiated a national security investigation on the basis of the Foreign Trade Law for the first time, targeting imported printing and copying equipment that use foreign software. The retaliatory measures will have a mixed impact on US entities, with firms having operational or commercial ties to China facing much greater disruption, especially if Chinese entities deny them market access or refuse to cooperate.

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President Xi Jinping's visit to the US remains on schedule. The calibrated nature of China's response and official Chinese statements suggest Beijing's primary objectives are to deter further US actions and to create negotiating leverage ahead of the summit, not to escalate. This leaves both sides ample time—seven to eight weeks—to stabilize the relationship prior to the summit.

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The key watchpoint is whether President Donald Trump's administration announces additional measures, particularly use restrictions on Chinese open-weight AI models or tightened cloud chip access

for Chinese firms. Either would mark a step change and risk derailing the summit. We expect Washington to hold back from truce-breaking measures before Xi's visit (see: Beijing deepens retaliation while keeping summit door open , 5 August 2026).

Politics

New entry and exit rules carry risk for Chinese citizens working in sensitive technologies. On 31 July, the State Council published new rules on exit and entry that will take effect on 15 September. The regulations formalize broad powers to restrict travel, regulate intermediaries, and deny exit or entry on security, legal, or policy grounds. By doing so, Beijing is shifting from ad hoc control over cross-border movement to a more durable regulatory framework, with the greatest practical burden likely to fall on Chinese citizens.

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Multinational companies operating in China in sectors involving controlled technologies should assess personnel risks. The regulations explicitly allow authorities to block Chinese citizens from leaving over export control or technology security concerns and to deny foreigners entry if they fall under Chinese countermeasures or related restriction lists.

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The rules codify practices that had already expanded under Xi. In the name of anticorruption, authorities have tightened oversight of overseas travel by party and state personnel for years, but the new regulations give immigration agencies and related authorities a clearer legal basis to enforce those controls. That makes the system more permanent and gives officials more confidence to intervene.

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The burden will likely fall unevenly. As central directives move down the system, lower-level officials and local organizations may adopt more restrictive implementation to avoid blame for weak enforcement. That creates a risk of default denials, wider document checks, and broader reporting requirements, especially for ordinary Chinese citizens who lack political protection or institutional leverage.

Economic Policy

Equity markets are an increasingly important channel for China's tech champions. Chinese tech firms are taking advantage of the stock market to raise capital amid retreating direct fiscal support for industrial policy. On 27 July, DRAM maker CXMT raised \$8.6 billion in the largest STAR Market IPO ever and mainland China's biggest listing since 2010 (see chart below), then closed its debut up 466%, for a market capitalization of about \$487 billion. On 28 July, Zhongji Innolight—an AI networking supplier—raised \$6.8 billion in Hong Kong, the largest sale there since Alibaba in 2019.

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The pipeline is dense. Unitree's subscription opens 10 August, raising about \$620 million. AgiBot's Hong Kong listing could come as early as this month at over \$5 billion, with Zhipu's \$2.2 billion STAR listing, Kunlunxin, Deep Robotics, and Leju behind it. The reliance on equity markets creates risks for retail investors: CXMT's retail tranche was 244 times oversubscribed, and the frozen cash added to a near-20% STAR 50 fall from its July peak.

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Financing demand is being shaped by compute scarcity as much as model quality. DeepSeek has doubled API prices during peak windows, and chip rationing explains why domestic memory and GPU names—CXMT, Biren, Iluvatar CoreX, Kunlunxin—have dominated this year's listings, drawing capital

toward the infrastructure layer of China's AI buildout.

Foreign Policy

Heightened tensions in South China Sea will remain localized. On 30 July, China conducted joint naval-air military combat readiness drills and coast guard patrols in and around the territorial sea and airspace of Scarborough Shoal. Official Chinese statements made clear that Beijing was responding to the Philippines's submission of an official nautical chart of Scarborough Shoal, delineating the reef's 12-nautical-mile territorial waters and the 24-nautical-mile contiguous zone, to the UN Secretariat. The Chinese Foreign Ministry called the map "illegal" and "invalid."

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The combination of the military drills, coast guard patrols, and new guidelines for a nature reserve around Scarborough Shoal represent a stronger retaliation against the Philippines. The Southern Theater Command has been conducting combat readiness patrols at the end of each month since November 2024. Eurasia Group contacts say China will push back forcefully against any challenges that the Philippines mounts against Chinese claims over Scarborough Shoal.

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Skirmishes with Philippine vessels will likely continue. The Chinese coast guard and several other ministries issued guidelines for a nature reserve that Beijing established around Scarborough Shoal, authorizing routine patrols to interdict illegal fishing and mining.

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Tensions are likely to remain localized around Scarborough Shoal. Neither side is interested in further escalation. Beijing wants to preserve the US-China truce ahead of Xi's visit to the US in September.

Standing calls

Notes underpinning calls:

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Beneath the US-China truce, AI and commercial pressures are mounting , 5 August 2026

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Latest dismissals deepen military turmoil and lower Taiwan risk , 26 January 2026

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Trade confrontation will escalate despite managed pause , 2 July 2026

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Beijing will maintain calibrated pressure campaign against Tokyo , 20 July 2026

Upcoming Events

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Early August: CCP leadership will hold annual summer retreat at Beidaihe

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12-13 September: BRICS Summit

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24 September: Xi will likely visit the US

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22-29 September: UN General Assembly high-level meetings

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27 September: Six-month deadline for China's trade investigations

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October: 5th Plenum of the 20th CCP Central Committee

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1-7 October: China's National Day/Golden Week

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10 October: Taiwan's National Day

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21-23 October: Bund Summit in Shanghai (estimated dates)

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10 November: End of one-year suspension of US-China tariffs, Bureau of Industry and Security 50% ruling, Chinese export controls, port fees

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18-19 November: APEC summit in Shenzhen

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28 November: Taiwan local elections

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14-15 December: G20 leaders' summit in Miami

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